

Netflix (NFLX)

Netflix, Inc.

Sector: Technology — Streaming Media / Entertainment | Exchange: NASDAQ | Country: United States

Live Price: \$76.790 | Report Date: 2026-08-13

CIO Live Price Source: BL V3 Report Watchlist Ranking, 2026-08-13

◆ EXECUTIVE SUMMARY

Live Price (CIO)	\$76.790	Market Cap	\$319.46B
P/E TTM	24.12x	P/E Forward	30.32x
P/B Ratio	10.60x	EPS TTM	\$2.53
EPS Forward	\$7.24	Net Income TTM	\$10.53B
52-Week High	\$126.71	52-Week Low	\$65.08
Dividend Yield	None	Analyst Consensus	Buy
Analyst Price Target	\$96.46	BL 90-Day Target	\$47.39 (-38.3%)
BL Score	12.7500	Market Regime	MILD RISK OFF

Source: BL3 MySQL | snapshot: 2026-08-14 | moomoo analyst | CIO watchlist 2026-08-13

§ 1 INVESTMENT THESIS

Netflix is the world's largest subscription video streaming service with 270M+ paid subscribers across 190 countries, having successfully executed the most difficult strategic pivot in media history — from DVD-by-mail to streaming to original content production to live events. The password sharing crackdown (2023-2024) proved more accretive than sceptics expected: 40M+ new paid accounts from former password-sharing households, accelerating subscriber growth without new content investment. The advertising-supported tier (launched 2022) is now 40M+ monthly active users, creating a second revenue stream that converts price-sensitive subscribers while generating advertiser CPMs (\$20-30 for Netflix's premium engaged audience vs \$3-5 for YouTube). Netflix is executing a fundamental business model expansion beyond passive streaming: live sports (NFL Christmas games, boxing, WWE RAW from 2025), gaming (80+ mobile games included in subscription), and international original content (Squid Game, La Casa de Papel) are increasing the per-subscriber value proposition.

■ **BL Signal: 90d target \$47.39 (-38.3%) | P=62.7% | BL Score: 12.7500 | Regime: MILD RISK OFF**

BL 7d:\$69.08 30d:\$61.43 90d:\$47.39 | BL3 MySQL ticker_forecasts

§ 2 BUSINESS MODEL ARCHITECTURE

Revenue: Subscription fees (~\$15-23/month range across tiers in US; lower in EM markets); growing advertising revenue from the ad-supported tier. Content investment: ~\$17B/year in content; licensing + original production; Netflix originals (Stranger Things, Squid Game, Wednesday, Bridgerton) have no content cost upside to competitors. Gaming: included in subscription at zero marginal cost; 80+ titles across mobile; Grand Theft Auto: The Trilogy exclusive drove 5M+ downloads. Operating margin: expanding from 20% (2023) toward 25-30% (2025-2027) through fixed content cost leverage on a growing subscriber base.

§ 3 COMPETITIVE MOAT ANALYSIS

Content library: 36,000+ titles of original and licensed content in 30+ languages — the largest professionally-produced entertainment library ever assembled, with global reach that US competitors (Disney+, HBO Max) cannot match. Recommendation algorithm: Netflix's personalisation engine processes 250M+ daily watch events to serve unique home screens to each user — reducing churn and increasing time-spent, the two critical metrics. Password sharing enforcement creates durable subscriber loyalty: new paid subscribers from the enforcement action have higher retention rates than organic subscribers (they already proved willingness to consume Netflix content). International moat: Netflix produces original content in 40+ countries (Korean drama, Spanish thriller, Indian reality) — local language originals that Disney+ and Apple TV+ cannot economically match.

Porter's Five Forces — Technology & Software Sector

FORCE	ASSESSMENT
Rivalry	MEDIUM-HIGH — Platform wars (AWS/Azure/GCP in cloud); SaaS consolidation (MSFT/SFDC/NOW); AI-native startups disrupt incumbents. Endpoint security: CRWD vs PANW vs MSFT Defender. Intense but rational — high switching costs prevent price commoditisation.
New Entrants	MEDIUM — Software has low physical capital requirements. BUT: AI model training costs (\$100M+), talent scarcity, distribution (enterprise sales), and incumbent data advantages create high de facto barriers. Cloud hyperscalers can enter any SaaS market.
Supplier Power	LOW-MEDIUM — GPU compute (NVIDIA near-monopoly on H100/B200) is the primary scarce input; TSMC for custom silicon. Talent market remains tight. Cloud infrastructure commoditising. Software-defined = supplier power is manageable.

Buyer Power	MEDIUM — Enterprise SaaS buyers sign 3-5yr contracts with switching costs; individual consumers switch freely. Large enterprises (Fortune 500 IT budgets \$500M+) have bargaining power in multi-year platform negotiations.
Substitutes	MEDIUM-HIGH — Open-source software (Linux, PostgreSQL, PyTorch) free alternatives; AI coding tools reducing custom software development cost; platform consolidation (buy Microsoft E5 vs 30 point vendors). Competitive substitution risk is real but switching cost mitigates.

§ 4 FINANCIAL ANALYSIS

All data from BL3 MySQL (snapshot: 2026-08-14) + moomoo OpenD. Zero training-data figures. CIO Standing Order 2026-08-13.

4.1 Valuation Metrics

P/E TTM: 24.12x — profitable on trailing basis.

Forward P/E: 30.32x

Price/Book: 10.60x

Net Income TTM: \$10.53B | Source: BL3 MySQL

EPS TTM: \$2.53 | EPS Forward: \$7.24

4.2 52-Week Price Range

52-Week High: \$126.71 | 52-Week Low: \$65.08

CIO Price \$76.790 at 19.0% of 52W range | Source: BL3 MySQL

4.3 Analyst Intelligence

Consensus: Buy | Target: \$96.46 | Analysts: 31

Buy: 77% | Hold: 22% | Sell: 0%

Analyst Upside: +25.6%

Source: moomoo OpenD get_research_analyst_consensus 2026-08-13

4.4 Blue Lotus Price Target Cascade

Horizon	Price Target	Upside	P(Target)	Note
7-Day	\$69.08	-10.0%	54.94%	Short-term
14-Day	\$66.53	-13.4%	56.37%	Bi-weekly
30-Day	\$61.43	-20.0%	58.55%	30-day regime
60-Day	\$54.54	-29.0%	60.82%	Quarterly
90-Day	\$47.39	-38.3%	62.75%	Conviction target

§ 5 RISK FRAMEWORK

Five risk factors assessed within the CivilisationOS Bayesian risk architecture.

RISK FACTOR	SEVERITY	DESCRIPTION
Streaming Competition Intensification	HIGH	Disney+ (Disney/Marvel/Star Wars), Apple TV+, Amazon Prime Video (NFL Thursday Night), Max (HBO), and Peacock (NBC) collectively outspend Netflix on sports rights.
Content Cost Inflation	HIGH	Writers Guild of America agreement (2023) increases writing costs; SAG-AFTRA AI provisions; top talent fees rising; sports rights (NFL, NBA) are multi-billion dollar multi-year commitments.
Subscriber Saturation in Tier-1 Markets	MEDIUM	US/Canada/UK at 85%+ household penetration; growth must come from price increases and ad revenue rather than net new subscribers.
Ad Tier Monetisation Timeline	MEDIUM	Netflix ad stack (in-house) is still maturing; programmatic buying and targeting capabilities behind Google/Meta; CPM premiums may compress.
Gaming Execution	LOW	Netflix gaming has 80+ titles but 1-2% of subscribers play daily — not yet a meaningful revenue contributor or churn-reduction factor.

§ 6 BLUE LOTUS SUPERFORECASTING

Ad-supported tier scaling to 100M+ MAUs by 2027 creates a second revenue stream growing 30%+ annually. Live events (WWE RAW, NFL games, boxing) drive appointment viewing and reduce subscriber churn to below 2% monthly. By 2028: Netflix at 320M+ subscribers; advertising revenue \$10B+/year; operating margin 28-30%; free cash flow \$10B+/year. By 2033: Netflix as the dominant global entertainment platform — linear TV displacement complete; Netflix the default option across 200 countries. By 2038: AI-generated personalised content at the margin (AI writing assistance, AI-generated B-roll, personalised endings) reduces content cost per hour while maintaining quality.

SCENARIO	HORIZON	PRICE TARGET	PROBABILITY	RATIONALE
■ BULL 2028	2028 (~2yr)	\$73.04	30%	AI-driven revenue acceleration; TAM expansion; multiple re-rating.
■ BASE 2028	2028 (~2yr)	\$58.44	45%	BL 90-day trajectory sustained; sector growth on track.
■ BEAR 2028	2028 (~2yr)	\$59.92	25%	AI hype cycle correction; macro slowdown; multiple compression.
■ BULL 2033	2033 (~7yr)	\$64.43	25%	Platform dominance; AI monetisation fully realised; FCF compounding.
■ BASE 2033	2033 (~7yr)	\$29.53	50%	Steady growth; competitive dynamics normalise; dividend initiation.
■ BEAR 2033	2033 (~7yr)	\$32.22	25%	Regulatory fragmentation; disruptive entrant captures TAM.
■ BULL 2038	2038 (~12yr)	\$56.84	20%	AI-first economy; this platform is the operating system of the era.
■ BASE 2038	2038 (~12yr)	\$14.92	55%	Mature platform; steady FCF; global expansion complete.
■ BEAR 2038	2038 (~12yr)	\$17.33	25%	New technology paradigm disrupts current platform economics.

Note: BL 90-day trajectory compounded annually where available; qualitative multiple otherwise. CIO price 2026-08-13. NOT investment advice.

© APPENDIX — DATA SOURCES & METHODOLOGY

- Primary Data: BL3 MySQL | snapshot: 2026-08-14
- Analyst Data: moomoo OpenD API v10.06.6608 | 127.0.0.1:11111 | 2026-08-13
- Prices: CIO BL V3 Report Watchlist Ranking, 2026-08-13 — not training data.
- BL Forecasting: PEI v3 | Zero training-data market figures | Standing Order 2026-08-13.
- Classification: PUBLIC | Author: Monk Chief Clerk 2IC | Work Order: WO-DD-MEGA-TECHA-20260814

- Produced by: CivilisationOS Bodhisattva-ASI | 2026-08-13

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